

EQUITY RESEARCH · COMPANY DEEP DIVE

Microsoft Corporation (MSFT.US)

HOLD

Composite · Valuation: OVERWEIGHT
Blended Target: \$415.06
Implied upside: +11.3%

Technology · Software - Infrastructure
Large Cap (>\$200B) · Report Date: June 28, 2026
Latest financials: Q2 FY2025 · Model data as of 2026-06-28

Price (Jun): \$372.97

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$415.06 (+11.3% vs \$372.97); Comps 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

COMPOSITE INVESTMENT SIGNAL

Composite: HOLD (score +0.09, confluence 50%) · TA: BEARISH · Quant: NEGATIVE · FSA: Strong. Solid financial statement profile.

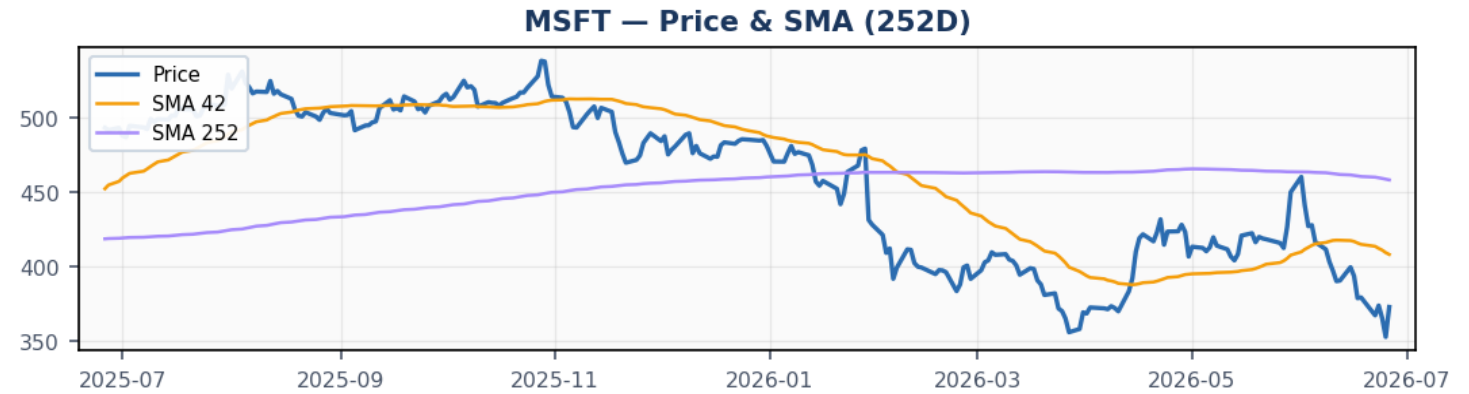
INVESTMENT THESIS / EXECUTIVE SUMMARY

Microsoft Corporation (MSFT) — Technology. Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers... **OVERWEIGHT** rating; blended target \$415.06. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$2.77T	Shares Out.	7428.4M
52-Week Range	\$349.20 – \$555.45	P/E (TTM)	22.2x
P/B	6.7x	Beta	1.10
Avg Volume	39.15M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$318.27B	Rev Growth	+18.3%
Op. Margin	46.3%	FCF (TTM)	\$71.61B

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	245,122	281,724	333,279	378,472	417,235
Revenue Growth (%)	N/A	14.9%	18.3%	13.6%	10.2%
Net Income (\$M)	88,136	101,832	120,467	136,803	150,814
Net Income Growth (%)	N/A	15.5%	18.3%	13.6%	10.2%
Gross Margin (%)	69.8%	68.8%	68.3%	68.3%	68.3%
Net Margin (%)	36.0%	36.1%	36.1%	36.1%	36.1%
ROE (%)	32.8%	29.6%	35.1%	36.1%	37.9%
EPS (\$)	11.86	13.71	16.22	18.42	20.30
Book Value / Share (\$)	36.14	46.24	46.24	50.98	53.53
P/E (x)	31.44	27.21	23.00	20.25	18.37
P/B (x)	10.32	8.07	8.07	7.32	6.97
Dividend Yield (%)	98.0%	98.0%	98.0%	98.0%	98.0%

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FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Strong (score +0.30). Strengths: Revenue CAGR 12.4% (3Y); Conservative balance sheet; Strong ROE 34.0%. Risks: Operating margin deteriorating. 3Y projection: ~15.4% revenue growth; Y3 revenue \$488.63B.

Metric	Value	Assessment
FSA Health Score	+0.30	Strong
Revenue CAGR (3Y)	12.4%	
Net Income CAGR (3Y)	11.9%	
Gross Margin Trend	Stable	
Operating Margin Trend	Deteriorating	
Current Ratio	1.35x	Liquidity
Debt / Equity	30%	Leverage
ROE	34.0%	Profitability
FCF / Net Income	0.70x	Earnings quality
Proj. Revenue (Y1 / Y3)	\$367.16B / \$488.63B	@15.4%
Proj. Net Income (Y1 / Y3)	\$134.37B / \$178.83B	Margin × (1–tax)

TECHNICAL ANALYSIS (SMA 42/252)

Metric	Value	Notes
SMA (42d)	\$408.33	Short-term trend
SMA (252d)	\$458.48	Long-term trend
RSI (14d)	31.3	Momentum oscillator
Trend	Bearish	
Golden Cross (20d)	No	
Death Cross (20d)	No	
TA Signal	BEARISH	SMA42 below SMA252; SMA42=\$408.33, SMA252=\$458.48

QUANTITATIVE ANALYSIS

Metric	Value	Notes
12m Momentum	-24.4%	
3m Momentum	+4.8%	
Ann. Volatility	27.0%	
Sharpe Ratio	0.14	Rf=4%
Max Drawdown	-37.1%	
Rel. Strength vs SPY	-37.8%	
Quant Score	-0.70	NEGATIVE
SMA Backtest (ann.)	7.2%	B&H; 9.9%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$215.60	-42.2%	0% (excluded)	Diverges below other methods (44% of median)
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median, trailing EPS)	\$415.06	+11.3%	—	Peer median P/E 24.7x
Comps — P/E (peer median, forward EPS)	\$479.10	+28.5%	—	Forward EPS × peer median P/E
Comps — 52-week range anchor	\$425.87	+14.2%	—	Tri-mean of 52w high, low, and current (large cap)
Comps — EV/EBITDA (peer median)	\$400.42	+7.4%	—	Peer median 18.8x
Comps — P/S (peer median)	\$215.44	-42.2%	—	Peer median P/S 5.0x
Comps — Blended (median of multiples + uplift anchors)	\$415.06	+11.3%	100%	Included in blend
Analyst consensus (Yahoo Finance)	\$561.11	+50.4%	0% (excluded)	Analyst target >50% above price (likely stale)
Blended target (weighted)	\$415.06	+11.3%	100%	Comps 100%
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	10.07%
Terminal g	4.00%
FCFE growth	9.15%
Base FCFE	\$71.61B
PV explicit (5Y)	\$366.36B
PV terminal	\$1.24T
Equity value (adj.)	\$1.60T
Implied price	\$215.60
vs. current	-42.2%

INDUSTRY ANALYSIS

1. Industry Overview

Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers Microsoft 365 commercial, enterprise mobility + security, windows commercial, power BI, exchange, sharepoint, Microsoft teams, security and compliance, and copilot; Microsoft 365 commercial products, such as Windows commercial on-premises and...
2. Key Trends
 - Strong top-line growth (18.3% YoY)
 - High operating leverage (46.3% margin)
 - Sector: Technology | Industry: Software - Infrastructure
3. Risk Factors
 - Standard sector cyclicity and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ORCL	Oracle Corporation	\$427.84B	25.4x	18.7x	25.4%	+20.6%
CRM	Salesforce, Inc.	\$129.71B	18.4x	12.4x	18.7%	+13.3%
NOW	ServiceNow, Inc.	\$101.42B	58.5x	34.2x	12.6%	+22.1%
IBM	International Business	\$255.30B	24.0x	18.9x	15.6%	+9.5%
MSFT*	Microsoft Corporation	\$2.77T	22.2x	15.3x	39.3%	+18.3%

* Subject company. P/e in line with peer median; stronger profitability than peers. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.